

French economy**France's debt interest bill to jump 25% this year**

Finance minister Roland Lescure also downgrades GDP growth forecast for 2026



Finance minister Roland Lescure said: 'Today we spend more on servicing the debt than on educating our kids or defending our nation' © Lou Benoist/AFP/Getty Images

Leila Abboud in Paris

Published SEP 11 2026

Could you be the FT's top trader? [**Try our new stock picking game**](#)

France expects the cost of servicing its national debt to increase by 25 per cent this year to €65bn, aggravated by geopolitical crises and turmoil in global bond markets.

"Today we spend more on servicing the debt than on educating our kids or defending our nation," the country's finance minister Roland Lescure said on Friday.

He also scaled back GDP forecasts for this year to 0.5 per cent, half of the growth the French government had projected when it originally drafted its budget for 2026 last autumn.

Speaking at a press conference, Lescure said growth was expected to rebound to 1 per cent next year but warned that the target assumed that shipping traffic in the Strait of Hormuz would improve “in the coming months”.

The [Financial Times reported](#) on Friday that Gulf ministers were due to meet Iran next week in a push to get a deal for temporary access to the strait.

Lescure blamed the forecast downgrade on higher energy prices from the Iran war, a hit to farming production from this summer's drought and the continued drag of political uncertainty from parliamentary gridlock ahead of a crunch presidential election in April.

He pleaded for lawmakers to be responsible in the upcoming debate over the 2027 budget. “We need a shared effort, but one that preserves our growth engines,” he said.

The lower growth outlook meant that the government's goal to cut the budget deficit to about 5 per cent of GDP this year was out of reach, admitted Lescure, without giving a new forecast. Inflation was expected to reach 2.1 per cent this year, he added.

France's revised forecasts came after the European Central Bank lifted interest rates in the Eurozone by a quarter point to 2.5 per cent on Thursday, as policymakers seek to throttle [inflation](#) in the 21-country bloc. France has experienced lower inflation than its neighbours but also weaker growth.

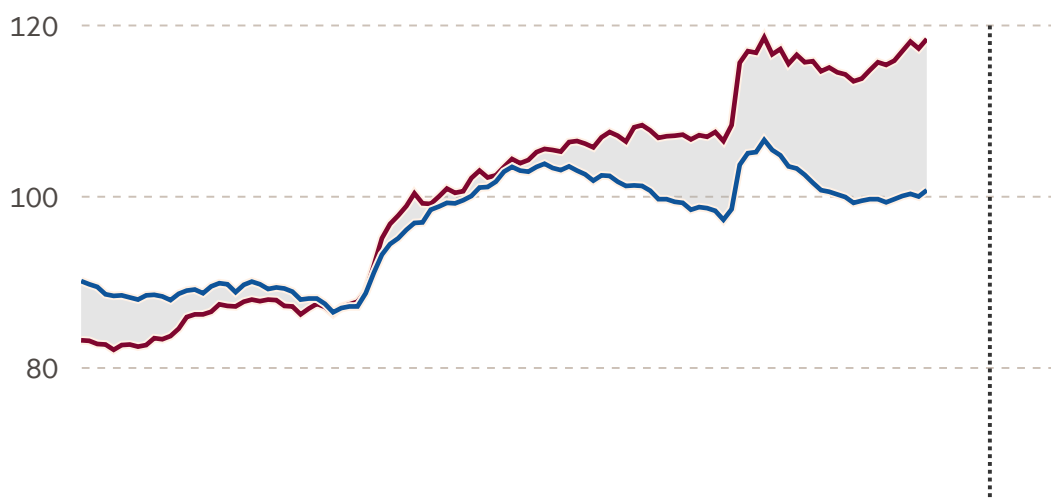
The bloc's second-largest economy stagnated in the second quarter compared with [expansion of 0.6 per cent for the Eurozone economy](#) as a whole. At the same time, French unemployment has continued an upward march to hit 8.3 per cent in the second quarter, the highest level since late 2020, during the Covid-19 pandemic.

Bond investors are demanding higher interest rates on France's 10-year bonds in part because they see it as a problem child in Europe given how political paralysis is making fiscal consolidation difficult. There are increasing worries that France's rising debt-servicing bill could create a self-fulfilling cycle of deteriorating public finances that drives up yields further.

As global bond markets reacted to rising oil prices and fiscal concerns this week, France's 10-year yields rose as high as 4.45 per cent, up from 3.22 per cent in February and the highest since 2008.

France's debt load outpaces peers

Quarterly government debt as % of GDP



France's gross government debt stood at €3.5tn at the end of the first quarter, or 117.6 per cent of GDP, according to statistics agency Eurostat. That compared with a [Eurozone average of 88.9 per cent](#).

Among the Eurozone debt markets, "France is most exposed to what causes bond yields to go up," said Kevin Thozet, an investment committee member at French fund manager Carmignac, pointing to its high indebtedness, wide deficit and "arguably the most fragmented parliament".

The spread with Germany's 10-year bonds — a closely watched measure of investor concern — has widened to more than 0.9 percentage points, its widest level since 2012 during the Eurozone financial crisis, and is now wider than other trouble spots such as Italy and Greece.

"I wouldn't say France is in danger, but it is in a situation that is worrying and unsatisfactory," said Emmanuel Moulin, the head of the Bank of France, on Friday. "There is a concern today because there are things that need to be dealt with, in particular public finances and the budget deficit," he told RTL radio.

Additional reporting by Ian Smith in London

[Copyright](#) The Financial Times Limited 2026. All rights reserved.

Follow the topics in this article

Sovereign bonds

Global Economy

French economy

Roland Lescure

Leila Abboud